

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02318

Report ID:	AR-02318
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	August 02, 2023
Audit Period:	2022-09-09 to 2023-07-23
Lead Auditor:	Kevin Allen (EMP-59612)
Reviewed By:	Donald Gregory (EMP-58141)
Primary Vendor Reference:	LatticeCore Partners Group (VND-03844)
Subject Employee Reference:	Christopher Murphy (EMP-4918)
Primary Transaction Reference:	TXN-C88469686
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2022-09-09 to 2023-07-23 and examined transactions, approvals, and compliance records associated with vendor LatticeCore Partners Group (VND-03844) and employee Christopher Murphy (EMP-4918). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C88469686 (amount 2,041,326.77 EUR) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004080	MEDIUM	APPROVAL LIMIT	Approval granted by EMP-38344 who was not authorised to approve amounts above \$5,000. Transaction value: \$54,884.
FND-002305	CRITICAL	APPROVAL LIMIT	Payment of \$204,179 approved at Level 2, which has a limit of \$25,000. Transaction exceeded limit by \$23,606.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000855	AUDIT REPORT	EVD-UWR-9357	0.74
EVI-001796	HR RECORD	EVD-WGZ-1809	0.52
EVI-002555	TRANSACTION RECORD	EVD-LIY-2142	0.56
EVI-006576	TRANSACTION RECORD	EVD-WOS-4617	0.81
EVI-011185	HR RECORD	EVD-TQT-2389	0.68
EVI-011850	POLICY DOCUMENT	EVD-NPF-6115	0.84

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Kevin Allen	EMP-59612	2023-08-02
Reviewing Officer	Donald Gregory	EMP-58141	2023-08-04